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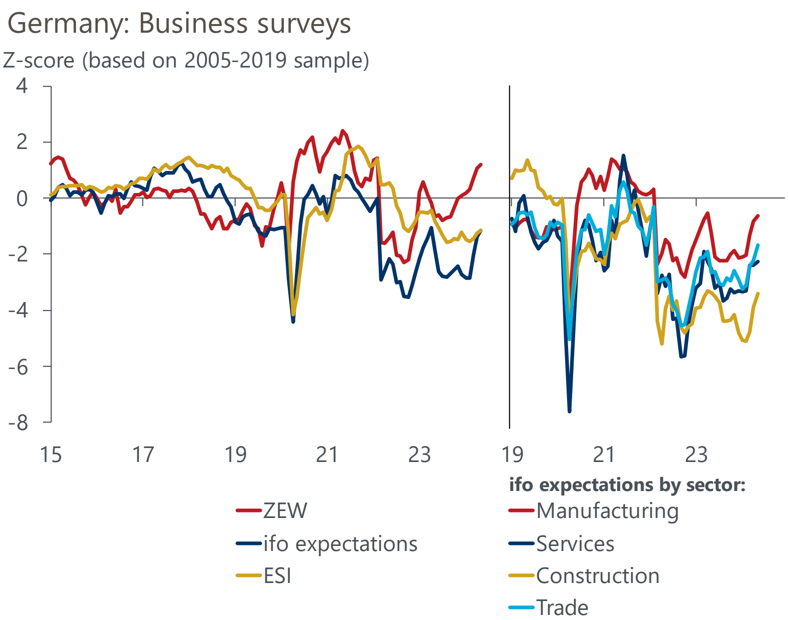
Research Briefing | Germany

The case for a cyclical rebound

- **We expect Germany to stage a solid recovery over the coming quarters after it has been one of the worst-performing European economies since the start of the pandemic and in the wake of the energy crisis. This is because several of the cyclical factors that amplified the country's structural growth challenges are set to fade or reverse.**
- **Business expectations have rebounded and even previously languishing industrial activity has risen off its lows. This supports our long-held view that GDP growth will pick up meaningfully through this year, setting the stage for a solid 2025. In 2025, we forecast GDP of 1.2% and industrial output growth of 3.1%, with the latter well above consensus of around 1.5%.**
- **We expect inflation to undershoot the eurozone average, mostly because of the disinflationary impetus from a delayed pass-through of lower wholesale energy prices to consumers. Germany's fiscal response has been comparatively small. Other governments dampened the real income shocks more aggressively with EU funds, often offering an additional cyclical boost, but that relative drag is easing.**
- **German industry is a major producer of energy-intensive intermediate goods and of interest rate-sensitive capital as well as durable consumer goods. Falling energy costs, a turning inventory cycle, rebounding world trade, and ECB rate cuts should prop up activity. There are also signs of progress on structural challenges like the green transition.**
- **All this should help lift German real incomes. We expect growth of 1.5% in 2024 and 2.2% in 2025 after three years of consecutive declines. This would narrow the income shortfall relative to the eurozone average from a peak of 4% to about 2.5% late next year, driving a consumer recovery.**
- **Risks remain tilted to the downside. Germany is exposed to the headwinds from a new Trump presidency. Consumers may spend real income gains more slowly than expected, and domestic fiscal tightening could be more painful than expected. Germany's low growth potential means the economy is unlikely to outpace the eurozone average again.**

Chart 1: Business confidence is improving across sectors



Source: Oxford Economics/Haver Analytics

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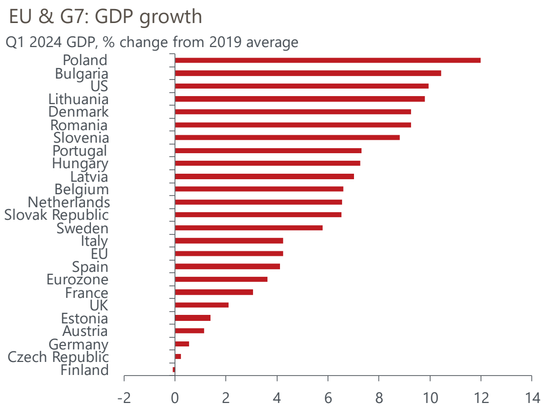
The German economy had a rough time over the past few years. After proving more resilient than many of its peers in the early stages of the pandemic, it began to underperform materially in 2022. It has had the weakest growth of any G7 nation and ranks as the second-worst EU economy. GDP in Q1 this year was up a paltry 0.5% on its pre-pandemic level compared to the eurozone average of 3.6% (**Chart 2**).

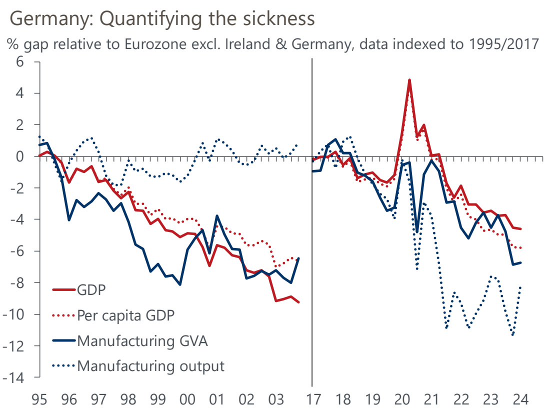
Chart 2: German economy massively underperformed its peers



Source: Oxford Economics/Haver Analytics

Much of this can be attributed to a continuation of the weakness that began as early as 2018, rekindling a debate about Germany being the sick man of Europe (**Chart 3**). We will discuss Germany's structural challenges in an upcoming briefing.

Chart 3: Growth shortfall underscores the structural challenges Germany faces



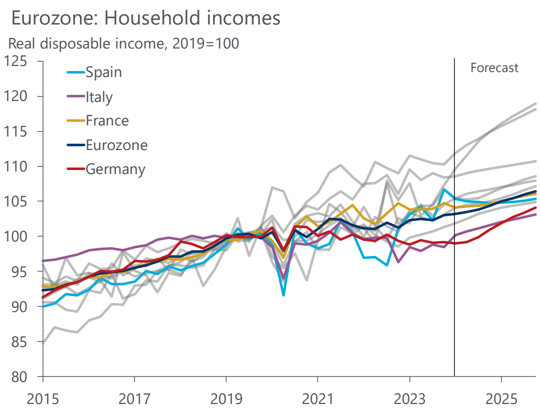
Source: Oxford Economics/Haver Analytics

However, from a near-term perspective, we believe that the gloom has been overdone. Several cyclical drags amplified the structural headwinds in recent years but are now set to ease or even turn supportive. Therefore, we expect German growth to pick up over the course of this year, leading to a solid 2025, as business surveys are increasingly pointing in that direction (**Chart 1**).

Lower inflation to boost real incomes

The main reason for growth to pick up is that consumption is set to rebound as real incomes recover. We expect them to grow by 1.5% this year and by 2.2% in 2025. This is above the eurozone average, ending a period of clear weakness (**Chart 4**). The relative income shortfall rose to as much as 4% and we think it will narrow to 2.5% at the end of next year.

Chart 4: Some catch-up wage growth to narrow the income shortfall to regional peers



Source: Oxford Economics/Haver Analytics

One key reason for that dynamic is that we expect German consumer energy inflation to undershoot the eurozone average after recording the largest overshoot on record last year (**Chart 5**). The last three inflation reports showed exactly that. This is because consumer energy contracts in Germany typically have fixed prices for a year or longer. This means that last year's large falls in wholesale prices are passed on to consumers with a delay relative to the eurozone average. The reverse happened during the early stages of the energy crisis. It is likely that a larger reliance on Russian gas imports and a lesser fiscal policy response contributed. For instance, Bruegel ranks Germany's fiscal response to the energy crisis as the ninth strongest in Europe, but a significant share of the budgeted funds was not spent. So, a response in the lower half of EU countries may be more plausible.

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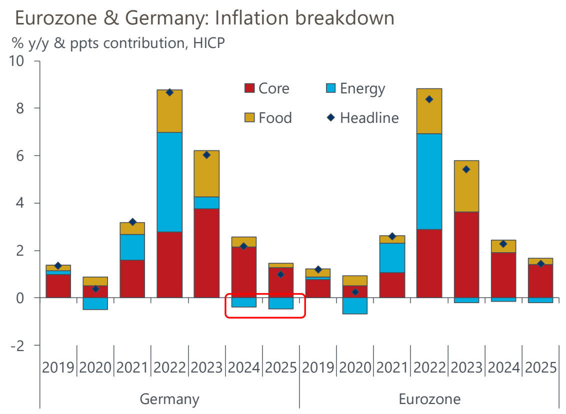
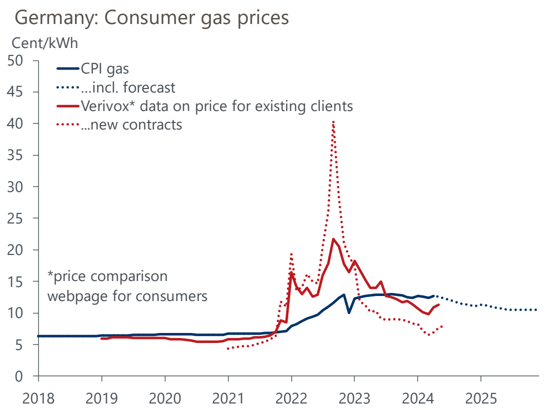
Chart 5: A reversal of the energy price spike will continue to dampen inflation in 2025



Source: Oxford Economics/Haver Analytics

Either way, leading indicators for German energy prices suggest that consumers will continue to benefit from normalising gas and electricity prices this year and next (**Chart 6**).

Chart 6: German consumer gas prices could fall more than we assume



Source: Oxford Economics/Haver Analytics/Verivox.de/Zeit Online

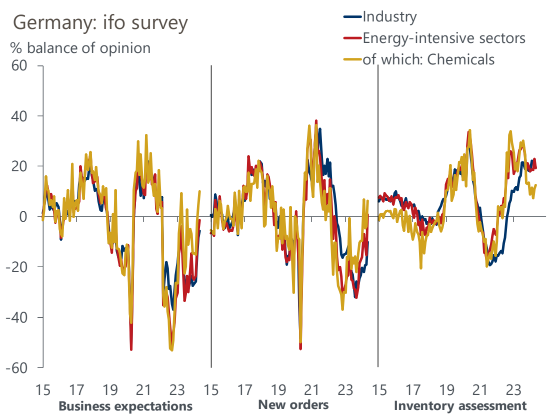
The weakness of consumer energy inflation should lead headline inflation temporarily below 2%. In addition, we also expect nominal incomes to somewhat outpace the regional average thanks to a solid catch-up in wage growth. Because German consumer confidence rose above the eurozone average in recent months, it points to a brighter consumer outlook, reducing the odds that households save rather than spend their real income gains. Indeed, German consumers' intentions to make major purchases rose significantly above the eurozone average in recent months.

Industrial recovery to gather pace

Industry was a bright spot at the start of the year. Production recorded the first quarterly gain in a year in Q1. Another rise is highly likely in Q2, and we expect sustained solid growth in the quarters thereafter despite Germany's structural challenges that often particularly afflict industry.

Gains in energy-intensive sectors have been a key driver of the Q1 strength. We recently argued that the fading energy price shock and a turn in the inventory cycle will be an important factor driving the eurozone's industrial recovery in the initial stages (**Chart 7**). Germany is likely to be a key beneficiary, given the importance of the sectors and previous large output falls, which points to some scope for catch-up growth. In a way, the fading energy crisis can be seen as part of the healing of the supply side, which is being amplified by other supply bottlenecks largely disappearing.

Chart 7: The chemical sector leads the rebound in industrial business expectations



Source: Oxford Economics/Haver Analytics

Later in the year, we expect global demand to deliver additional impetus (**Chart 8**). World trade could grow 1.6% in 2024 and 4.7% in 2025 in real terms. German industry's structural challenges suggest that it will struggle to fully capture that rise in demand as several sectors face uphill battles to retain their leading global positions. Germany is, thus, likely to continue to lose market share, but that does not mean it will not benefit at all. Many other sectors remain competitive given the presence of highly specialised firms. German industry as a whole retains one of the highest complexity scores globally, retaining an outsize role in the economy.

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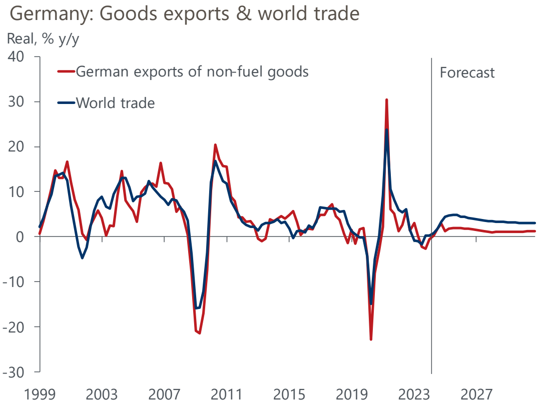
Chart 8: German exports will underperform global trade, but should still pick up markedly



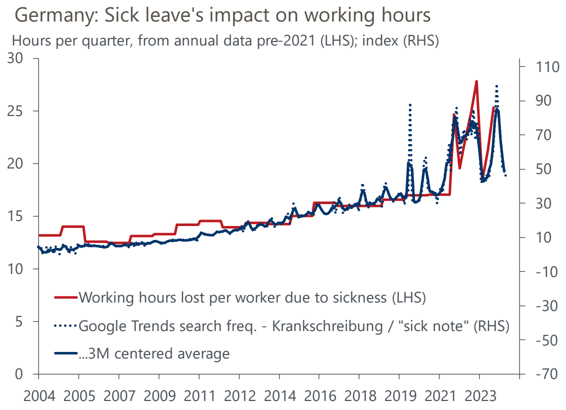
Source: Oxford Economics/Haver Analytics

The global easing in monetary policy is a key driver of the forecast pick-up in external demand. We also expect the European Central Bank to join the rate-cutting camp, which should stimulate domestic demand and, eventually, capital spending next year. German industry's role as a major producer leaves it well-placed to benefit.

Reduced sick leave to raise effective labour supply

A boost to the economy's supply side is likely to come from lower sick leave absences. This has been a large drag on the effective labour supply in recent years. But in Germany, sick leave rose last year, whereas it fell in other advanced economies.

Chart 9: Sick leave is falling quickly in 2024



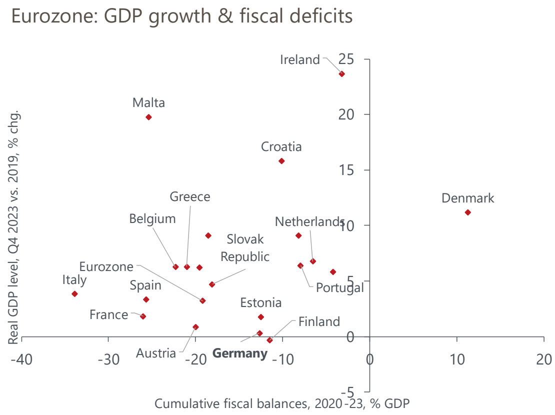
Source: Oxford Economics/IAB/Google Trends

Studies suggest that this could have cost up to 0.8% GDP in 2023, and it may have contributed to reported labour shortages despite stagnant activity. However, there is now growing evidence that this drag is abating (**Chart 9**). Even if we think that the estimate might overstate the relative importance, this implied rise in working hours is one additional building block of the improving supply outlook.

Fiscal policy to be less of a headwind in 2024, but risks loom in 2025

We do not expect fiscal policy to turn supportive this year, but at least we see scope for the policy tightening to be a little less pronounced than in recent years and less marked then the eurozone average. We expect the eurozone's primary fiscal deficit to narrow 0.6ppts, twice the German figure. This follows a period in which fiscal policy was less supportive than elsewhere in the region (**Chart 10**) despite Germany in many ways facing a more challenging environment.

Chart 10: German fiscal policy was among the least supportive in recent years



Source: Oxford Economics/Haver Analytics

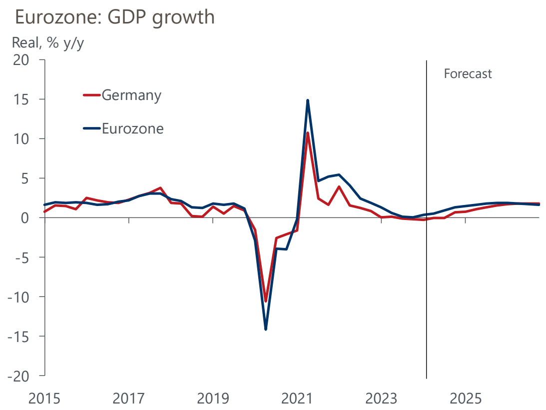
However, we expect the policy stance to become more restrictive again next year, but that the recovery will have enough momentum by then to sustain itself. The governing coalition's and especially the finance minister's insistence on quickly returning to balanced budgets implies a risk of more cyclical damage than we budgeted for. This is despite Germany's recovery being fragile and the debt ratio continuing to fall, even with slightly wider deficits.

Rebound but no outperformance

Overall, we think there are good reasons to expect German GDP growth to pick up meaningfully in the coming quarters. The reliance on global trade and industry often places the economy at the whims of external forces. But we think these are set to turn from a cyclical head- into a tailwind now. In normal times, this would even point to Germany temporarily outgrowing its regional peers. Although, structural factors suggest that the impetus will be less forceful this time.

Nonetheless, alongside the expected catch-up in real incomes, the resulting consumer recovery, the fillip from the turning of the inventory cycle, and the rebound in hours worked, we think the period of German underperformance should end (**Chart 11**).

Chart 11: German GDP growth to catch-up with eurozone average



Source: Oxford Economics

Yet, the medium-term outlook remains daunting. The drag from a fast-aging and shrinking workforce will peak in the coming five years or so. The green and digital transitions are formidable challenges for a country as regulated and status-quo biased as Germany. Therefore, while we think that the government will enjoy some cyclical tailwind as it heads into the election year in 2025, there is little reason to rest.

Moreover, while catch-up growth in industry presents an upside risk, there are major downside risks. Germany is among the more exposed economies to a new Trump presidency. The recovery and looming elections could embolden the finance minister to not employ possible ways to dampen the fiscal adjustment path. Finally, the risks are skewed towards the ECB easing policy less than we assume, which would likely dampen the recovery of the interest rate-sensitive sectors that German firms dominate.